Al Bina India — Construction Materials Intelligence

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At a glance

Construction materials demand

Steel	Cement	Infrastructure spending	New homes
84.9 Mt of finished steel used in Apr-Sep 2026, +7.5% vs a year earlier	Output +9.8% in September; about +10% in Apr-Aug	₹12.2 lakh crore of central capital spending planned for FY27	1.0 lakh homes sold in the top 7 cities in Jul-Sep, +3%; launches +18%

Market

Core industries index	National highways contracts	Wholesale prices (WPI)	Cement wholesale prices
+7.9% in September, a 30-month high	2,236 km signed in Apr-Sep, +63%	+11.4% in September vs a year earlier	+8.9% in September vs a year earlier (official WPI, "cement, other products")

FY27 means India's financial year April 2026 to March 2027. "Lakh" = 100,000; "crore" = 10 million.

This issue in brief

India is using more construction materials in 2026. Government infrastructure spending is at a record level, and home sales are holding up, while more new homes are being launched than sold.

1. **More steel and cement are being used.** Finished steel use rose 7.5% to 84.9 Mt in April to September. Cement output has grown 8-13% a month since April.
2. **Steel use is growing faster than steel making.** Crude steel output rose only 2.9% in April to September, and steel imports rose about 24%.

3. **Government is the biggest driver.** Central capital spending planned for FY27 is ₹12.2 lakh crore, up from ₹11.2 lakh crore planned for FY26. The roads ministry (₹3.10 lakh crore) and railways (₹2.93 lakh crore) have the biggest allocations.
4. **Housing: steady sales, more new projects.** Home sales in the top 7 cities rose 3% to about 1 lakh homes in July to September, while launches rose 18%. Unsold homes rose 12% to about 6.3 lakh.
5. **Big companies are growing faster than the market.** UltraTech sold 12.9% more cement and Shree 18% more in July to September than a year earlier. JSW Steel had record sales of 7.46 Mt.

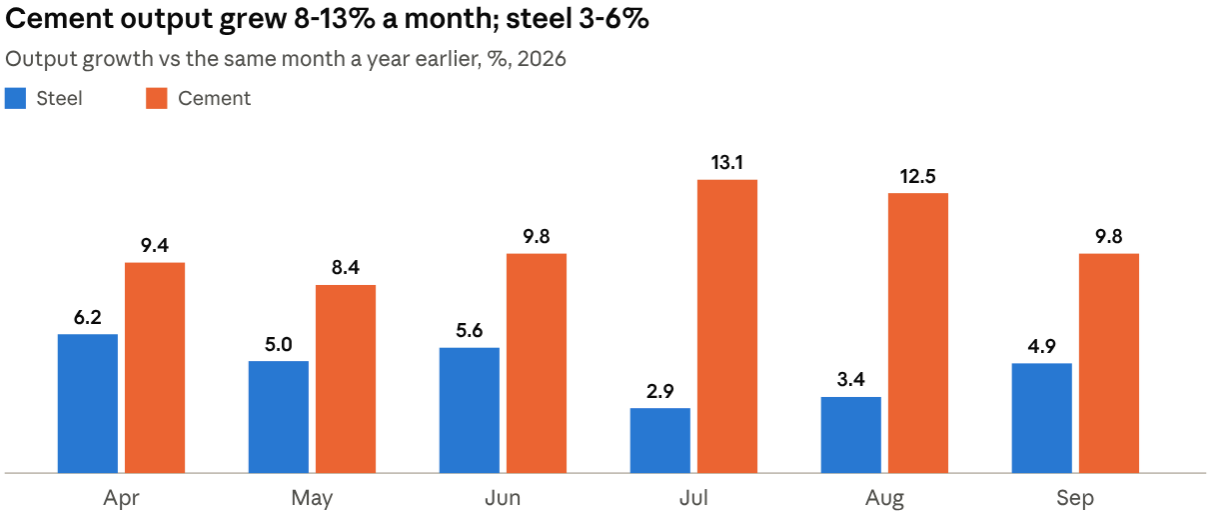
Trends: how materials demand is moving

India publishes official monthly figures for cement and steel output, so the trend can be shown month by month.

Words used here:

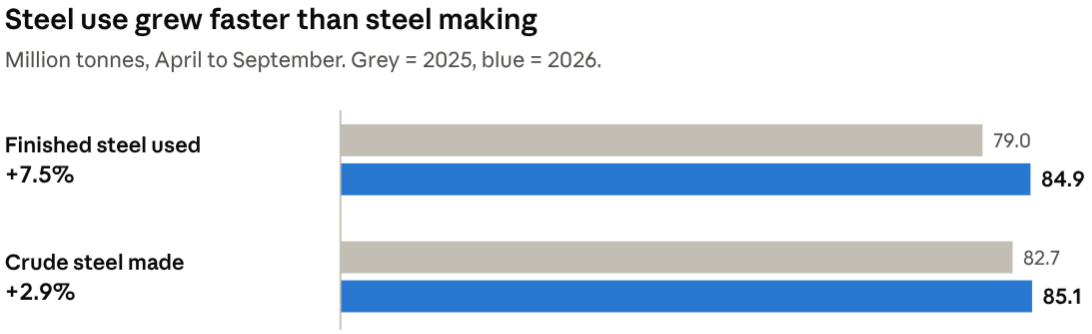
- **Output growth:** how much more was produced than in the same month a year earlier.
- **Finished steel use:** steel actually used in the country (production plus imports minus exports).
- **Core industries index:** a monthly government index of eight key industries, including cement and steel.

Monthly: cement and steel output



Index of Eight Core Industries, Office of the Economic Adviser, via Business Standard, BusinessToday, SteelOrbis and Shanghai Metals Market. First estimates; June steel is the revised figure. The September index uses the new 2022-23 base

April to September: steel use and steel making



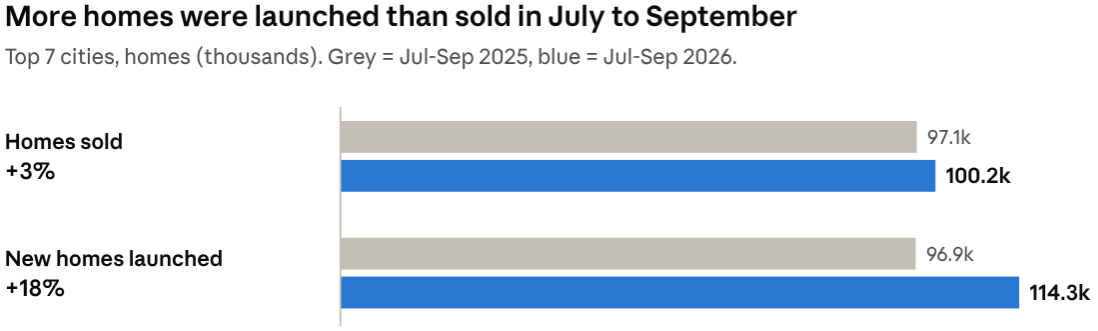
Joint Plant Committee (Ministry of Steel), provisional, via DD News and Construction Week. Apr-Sep 2025 crude steel worked out from the reported +2.9%

India used more steel than it made at home in April to September; imports rose about 24% to roughly 4.1 Mt (JPC). In September alone, steel use was 14.4 Mt, up 8% from 13.3 Mt a year earlier.

Year: what forecasters expect

ICRA expects cement volumes to grow 7-8% in FY27 (April 2026 to March 2027), on demand from housing and infrastructure (ICRA, via IBEF, May 2026). The next official core industries release, for October, is due on 20 November.

Housing: home sales and launches



Anarock, top 7 cities (Delhi NCR, Mumbai Metropolitan Region, Bengaluru, Pune, Hyderabad, Chennai, Kolkata), released 28 September 2026, via Construction Week and Business Standard. Jul-Sep 2025 launches worked out from the reported +18%

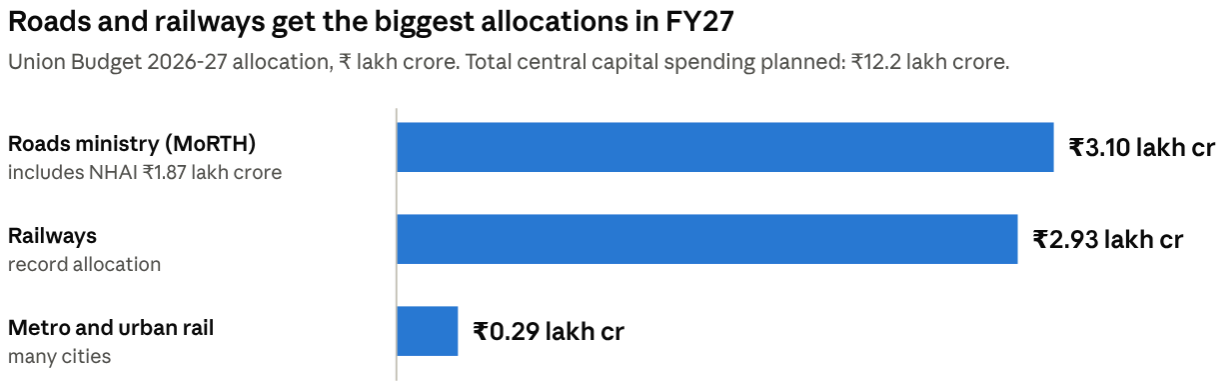
- **Sales:** about 1,00,220 homes in July to September, up 3% from a year earlier and up 10% from April to June. Sales value was about ₹1.55 lakh crore, up 2%.
- **Where:** Mumbai Metropolitan Region sold the most (about 31,750 homes), then Bengaluru (about 16,670); together nearly half of all sales. Hyderabad grew fastest (+15%). Pune, Chennai and Kolkata sold fewer homes than a year earlier.

- **Unsold homes:** about 6.31 lakh, up 12% from a year earlier, because launches ran ahead of sales.
- **Prices:** average home prices in the top 7 cities were about 7% higher than a year earlier.

New launches turn into building work, and orders for steel, cement and concrete, over the next one to three years.

Infrastructure and project tracker

The central government plans ₹12.2 lakh crore of capital spending in FY27 (about 3.1% of GDP), up from ₹11.2 lakh crore planned for FY26. Actual FY26 spending was about ₹10.95 lakh crore, a little below plan.



Union Budget 2026-27, via Indian Infrastructure, Business Standard and RPRealtyPlus. Allocations are not all capital spending and should not be added together; the roads ministry figure includes NHAI

National highways: 2,236 km of national highway projects were signed in April to September 2026, 63% more than a year earlier (MoSPI). This counts new contracts, not roads built.

Major projects

Project	Where	Stage	What it means for materials demand
Mumbai-Ahmedabad bullet train	Maharashtra, Gujarat	Being built; first section targeted around end-2026 (dates vary by source)	Viaducts and stations: large steel and concrete use

Project	Where	Stage	What it means for materials demand
Delhi-Mumbai Expressway	Delhi to Mumbai	Major sections open; remaining works under way	Steady demand as last stretches are finished
Noida International Airport (Jewar)	Uttar Pradesh	Commercial flights reported from 15 June 2026	Building work shifts to roads, metro link and nearby development
Navi Mumbai International Airport	Maharashtra	Domestic flights since December 2025; international start planned for 2026	Surrounding development in the Mumbai region
Ganga Expressway	Uttar Pradesh	Phase 1 opened April 2026 (reported)	Later phases and links continue
Delhi Metro Phase IV	Delhi	Being built; civil work on the Inderlok-Indraprastha corridor started July 2026	Tunnels and elevated sections
Chennai Metro Phase 2	Tamil Nadu	Being built; first section due to open in 2026	Large underground and elevated works
Metro rail overall	26 cities with metro running (October 2026)	More lines being built in many cities	Steady demand across many cities
New high-speed rail and freight corridors	Several states	Announced in Budget 2026-27	Future demand, after design and contracts

Project stages are as reported by the press and official sources up to 8 November 2026; some dates differ between sources.

Company results: July to September 2026

Large listed cement and steel companies sold more than a year earlier, most of them faster than the market.

Company	Sold in Jul-Sep 2026	vs a year earlier	Other points
JSW Steel	7.46 Mt of steel	+13%	Record quarter; India sales 6.29 Mt (+12%)
UltraTech Cement	38.22 Mt (group)	+12.9%	Profit +21%; India grey cement +13.8%
Shree Cement	9.31 Mt (India)	+18%	Revenue ₹5,897 crore, +24%
Ambuja Cements	16.5 Mt	About the same (16.6 Mt)	Revenue ₹9,197 crore; sales through dealers +8.6%

Volumes from company results releases and presentations as reported by Investing.com, Business Standard and company press releases. Revenue and profit figures differ slightly between reports; check the stock exchange filings before quoting them. Tata Steel, SAIL, Dalmia Bharat, JK Cement and others will be added once their figures are confirmed.

Outlook and what to watch

1. **Published forecasts.** ICRA expects cement volumes to grow 7-8% in FY27. India Ratings expects wholesale inflation (WPI) above 12% for October, from 11.4% in September.
2. **Highways.** MoSPI data shows more national highway contracts signed in April to September than a year earlier, while Nuvama's monthly tracking showed very few awards in April to June. The next months will show which picture holds.
3. **Housing.** Anarock expects the festive season to support home sales in October to December. Launches have been running ahead of sales.
4. **Steel imports.** Imports rose about 24% in April to September; watch whether this continues.

What Al Bina India will report next issue:

- Core industries index for October (cement and steel output)
- JPC steel use for October
- Wholesale price index for October
- Results from Tata Steel, SAIL, Dalmia Bharat and JK Cement

Calendar

- **16 November:** wholesale price index (WPI) for October

- **20 November:** core industries index for October
- **Early December:** JPC steel figures for November

Sources and method

Al Bina India uses public sources only: the Index of Eight Core Industries (Office of the Economic Adviser), the Joint Plant Committee of the Ministry of Steel, the wholesale price index, MoSPI infrastructure data, the Union Budget 2026-27, company results and stock exchange filings, Anarock housing data, ICRA and India Ratings research, and project announcements as reported by the press. Figures are as published; Al Bina calculations are labelled "worked out". Nothing in this issue comes from any company's private data.

All figures are as of 9 November 2026. Al Bina reports published figures and lets readers draw their own conclusions; it does not forecast or recommend prices. Not investment advice.